

The Chemistry of a Fair Price

The formula behind a sustainable price, and the discount trap that quietly erodes a business

Learning Objectives

- Calculate the true cost of a service, including materials, labour, and overhead
- Apply a sustainable profit margin correctly to a calculated cost
- Distinguish cost-based pricing from value-based pricing
- Explain why the "friends and family discount" is a quantifiable business risk, not a small favour

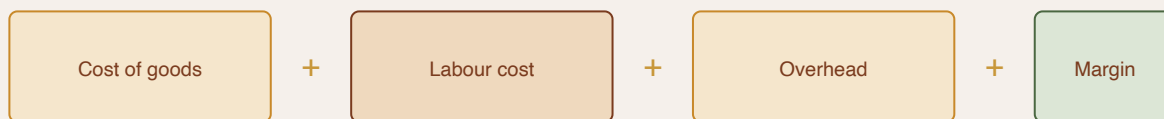
Pricing is math, not a feeling

A price that "feels about right" compared to a competitor down the street is not a pricing strategy — it is a guess, and guesses erode a business slowly and invisibly. This module teaches pricing as a calculation with a correct answer, built from your own actual costs.

The pricing formula

True service cost combines three components: cost of goods (the actual product used per service — a fraction of a bottle, a portion of a wax pot refill), labour cost (your own time, valued at a real hourly rate, not zero), and overhead (rent, utilities, insurance, and equipment depreciation, divided across your realistic monthly appointment volume). A sustainable price is this total cost plus a deliberate profit margin — never the cost alone.

◆ Figure 4.1 · The Pricing Formula



Skip any one term and the "price" you land on is a guess wearing a number.

Cost-based versus value-based pricing

Cost-based pricing starts from your calculated cost and adds margin. Value-based pricing starts instead from what the outcome is genuinely worth to the client — a bridal look on the single most photographed day of her life reasonably commands more than the identical technique applied for an ordinary evening out. Mature pricing strategy uses cost as the non-negotiable floor and value as the justification for anything charged above it, never the reverse.

The friends and family discount trap

Each discount extended, however well-intentioned, is real revenue leaving the business — not a symbolic gesture. A pattern of frequent, undocumented discounting compounds quietly over a year into a significant, often unnoticed loss. Decide your discount policy in advance, in writing, and apply it consistently rather than negotiating it fresh, and emotionally, in the moment.

Key Terms

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Practical Activity · Price a Real Service

Using the pricing formula worksheet, calculate the true cost and a sustainable price for one specific service from an earlier Amber course, showing your work for each of the

three cost components.